

EGERTON



UNIVERSITY

UNIVERSITY EXAMINATIONS

NJORO CAMPUS

SECOND SEMESTER, 2023/2024 ACADEMIC YEAR

FIRST YEAR EXAMINATION FOR THE DEGREE OF BACHELOR OF ARTS AND

BACHELOR OF SCIENCE

ECON 121- PRINCIPLES OF MACROECONOMICS

STREAM: B.A, & B.SC

TIME: 2 HRS

EXAMINATION SESSION: APRIL

YEAR: 2024

INSTRUCTIONS

- i). Answer Question ONE and ANY OTHER TWO questions.
- ii). Question ONE carries 30 Marks and the rest 20 Marks each.
- iii). Do NOT write on the question paper.
- iv). Apart from calculators, all other devices and written materials are not allowed in the examination room.
- v). All personal items MUST be left outside, or in front of the examination room.

QUESTION ONE**(30 MARKS)**

- a) Give five distinctions between microeconomics and macroeconomics. **(5 MARKS)**
- b) Define the following terminologies as used in national income accounting.
- i. Gross Domestic Product. **(1 Mark)**
 - ii. Per capita income. **(1 Mark)**
 - iii. Transfer income. **(1 Mark)**
- c) Given the following income (Y), consumption (C), and Savings (S) schedule (in Kenya Shillings):

Income (Y)	Consumption (C)	Savings (S)
0	100	-100
100	180	-80
200	260	-60
300	340	-10
400	420	-20
500	500	0
600	580	20
700	660	40
800	740	60
900	820	80
1000	900	100

- i). Calculate the Marginal Propensity to Consume (MPC), and derive the consumption function. **(3 Marks)**
 - ii). Calculate the Marginal Propensity to Save (MPS), and derive the savings function. **(3 Marks)**
- d) Outline five uses of national income statistics. **(5 Marks)**
- e) Explain any three challenges encountered in the computation of national income. **(3 Marks)**
- f) Explain three determinants of consumption. **(3 Marks)**
- f) Explain five factors that influence investment in an economy. **(5 Marks)**

QUESTION TWO**(20 MARKS)**

a) The following information is the GNP account of a hypothetical country.

Item	Amount
Gross National Product	1500
Gross Investment	200
Net Investment	60
Consumption	1000
Government Expenditure	300
National Income	1200
Wages and Salaries	900
Proprietors' incomes and rental incomes of persons	110
Net interest	60
Government Budget Surplus	-20
Personal Interest Payments	0
Undistributed Corporate Profits	-20
Valuation adjustments	-20
Business Transfer Payments	0
Personal Transfers to Foreigners	0

Using the above information, find:

- i). Capital Consumption Allowance. **(2 Marks)**
 - ii). Net National Product. **(2 Marks)**
 - iii). Indirect taxes. **(2 Marks)**
 - iv). Disposable income. **(2 Marks)**
 - v). Net exports. **(2 Marks)**
- b) Outline three possible institutions in the country you could visit to access loans to finance your investment. **(3 Marks)**
- c) Explain four determinants of savings in Kenya. **(4 Marks)**
- d) Illustrating using a diagram, describe the circular flow of income in a closed economy with government participation. **(3 Marks)**

QUESTION THREE**(20 MARKS)**

- a) Define IS and LM curves. **(4 Marks)**
- b) Using diagram, derive the IS and LM curves. **(10 Marks)**
- c) Explain the factors that will cause a shift in the IS and LM curves **(6 Marks)**

QUESTION FOUR.**(20 MARKS)**

- a) State five functions of money. **(2.5 Marks)**
- b) Outline five functions of the Central Bank of Kenya. **(5 Marks)**
- c) Explain the three motives for holding money according to Keynes. **(6 Marks)**
- d) State five objectives of monetary policy. **(2.5 Marks)**
- e) Explain how open market operations can be used to control inflation. **(4 Marks)**

QUESTION FIVE**(20 MARKS)**

- a) i) Identify five types of unemployment. **(5 Marks)**
 ii) List five consequences of unemployment. **(5 Marks)**
- b) i) Outline five causes of inflation. **(5 Marks)**
 ii) Highlight five effects of inflation. **(5 Marks)**
